Central Bank Independence and the Price Level

What If We Cancelled the Debt?

Quentin Vandeweyer

London Business School

Sciences Po – Banque de France seminar
4 November 2026

Cancel the central bank's bonds?

In the debate

> *"We keep being told that the debt is an insurmountable wall and that there is no room for manoeuvre. That is false. The ECB holds about 20% of French debt. This debt can be cancelled. At no financial cost."*
>
> Pigasse on X, 22 August 2026

- **Stake:** €600 bn of French debt bought net by the Eurosystem

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- **Stake:** €600 bn of French debt bought net by the Eurosystem
- **Accounting:** the Treasury saves what the central bank loses

> *"On cancelling the French debt held by the ECB. It is an old argument that comes back regularly and is simply wrong, despite what @MPigasse says. Contrary to what he says (what he thinks?), cancelling the French debt held by the ECB would have no effect."*
>
> Blanchard on X, 23 August 2026

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- **Accounting:** the Treasury saves what the central bank loses
- **Beyond accounting:** the money becomes permanent
- **Agreed:** the central bank may be unable to withdraw it all
- **But** it is no free lunch: someone has to pay

Something has to give

> *"The proponents of cancellation promise three things at once: real fiscal room, no victims and inflation under control. The arithmetic, however, allows only two."*
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> Blanchard and Vandeweyer, *Le Monde*, 4 September 2026

The Treasury pays ⟶ No real fiscal room

Commercial banks pay ⟶ A hidden tax

No one pays ⟶ Inflation

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The Treasury pays → No real fiscal room

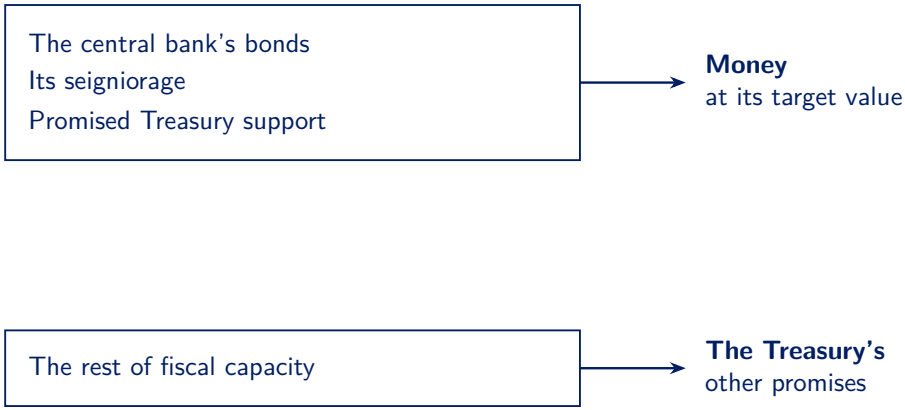
Commercial banks pay → A hidden tax

No one pays → Inflation

☞ **This talk: when cancellation leads to inflation, and through which mechanism**

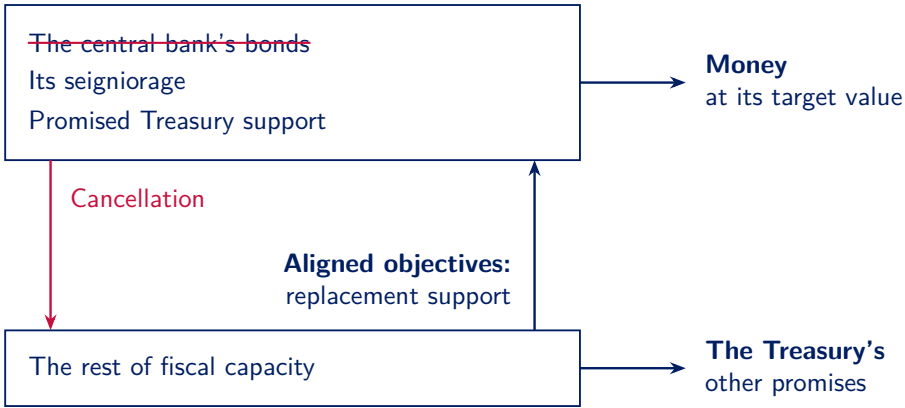
Independence commits fiscal space to the price anchor

Related literature



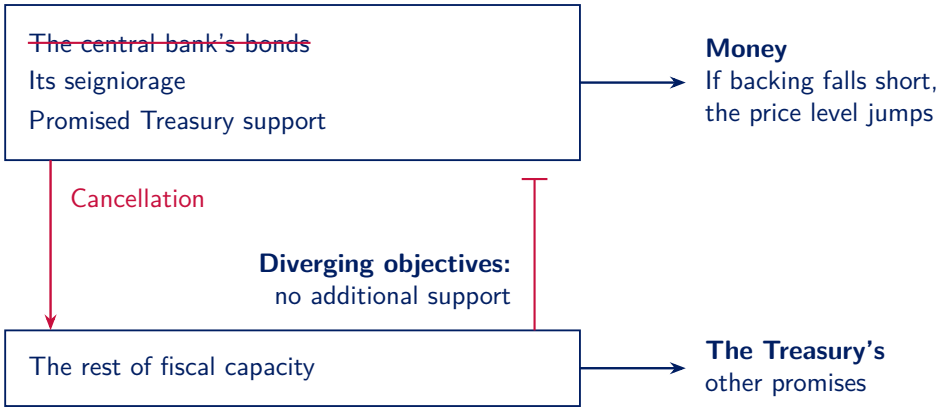
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☞ **Cancellation shifts fiscal space from the price anchor back to the Treasury**

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II. A simple model of central bank independence

III. What pins down the price level

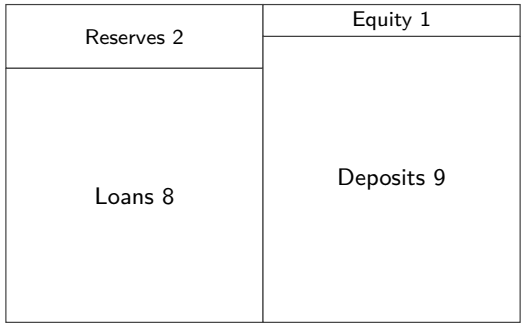
IV. Buying versus cancelling the debt

V. Conclusion

A deposit is a promise

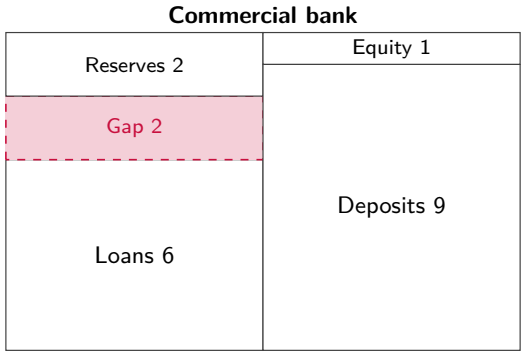
One euro of deposit promises one euro of central-bank money, on demand

Commercial bank



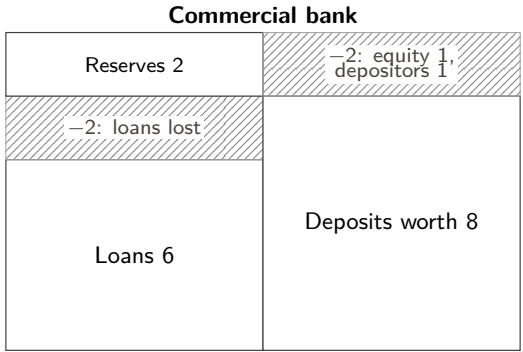
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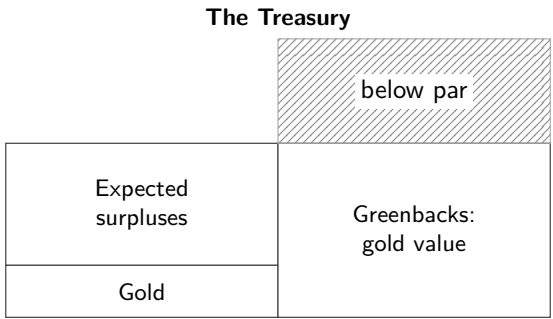
☞ **When backing falls short, a deposit euro is worth less than a cash euro**

Money without a central bank

The greenback: notes of the Treasury, not convertible into gold

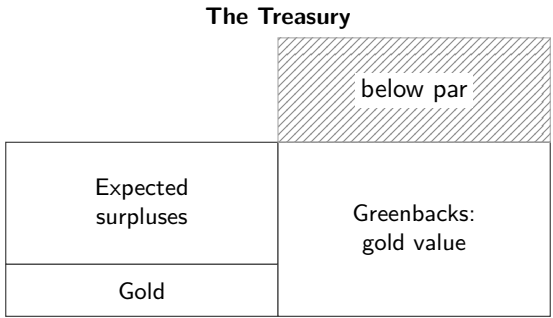
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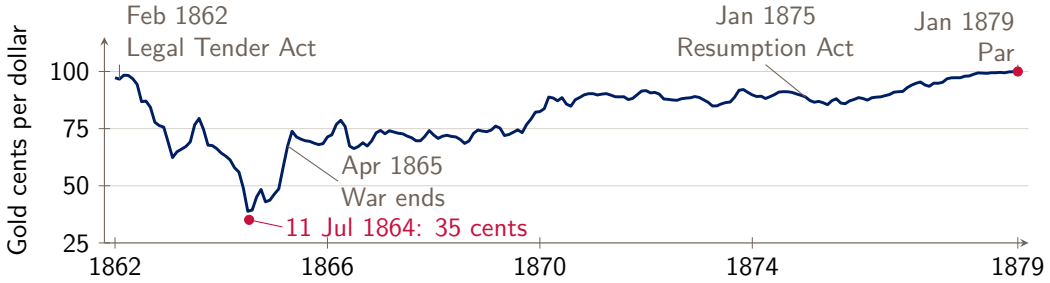
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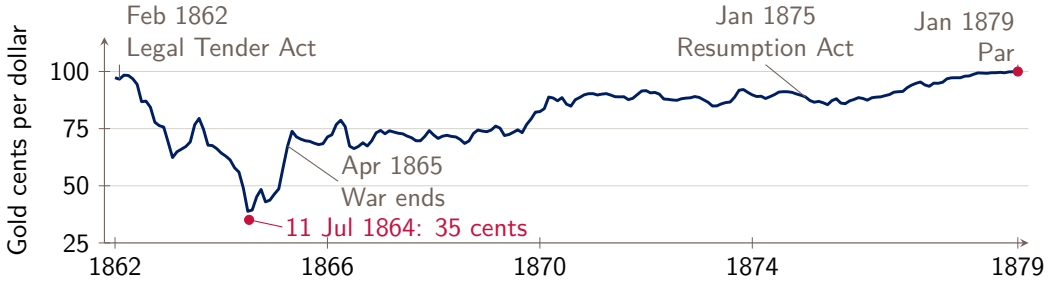


☞ **The notes were worth the gold and the surpluses behind them**

Fiscal news priced the greenback

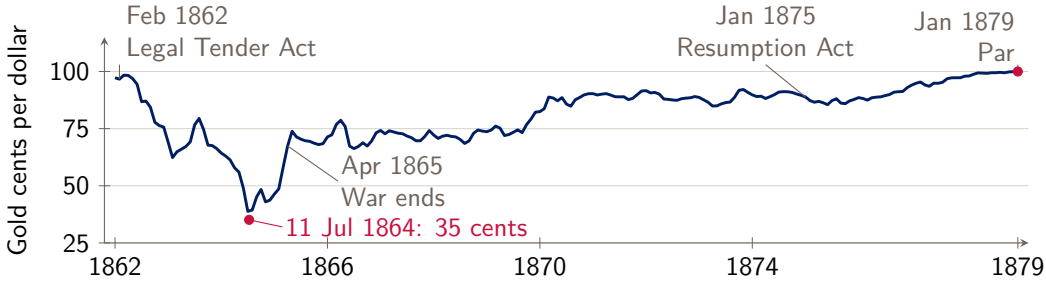


Fiscal news priced the greenback



- War news moved its value daily

Fiscal news priced the greenback

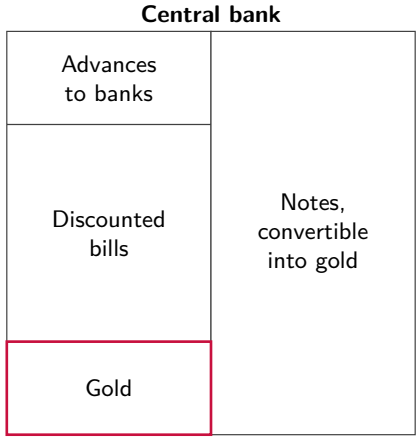


- War news moved its value daily
- The Treasury ran surpluses and accumulated gold

☞ **Money's value moved with expected surpluses: the fiscal theory in pure form**

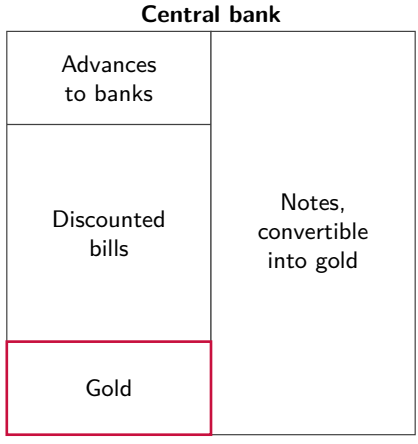
A central bank under gold

- Notes promise gold at a fixed parity



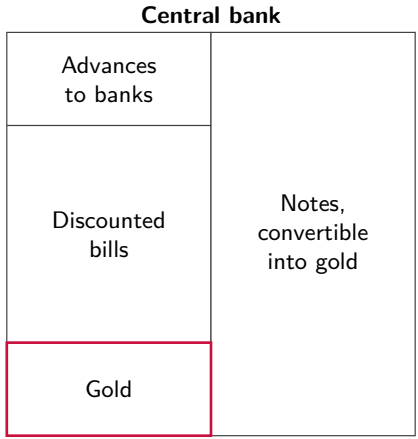
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- Notes promise gold at a fixed parity
- Bills and advances are claims in money: they do not anchor the gold value

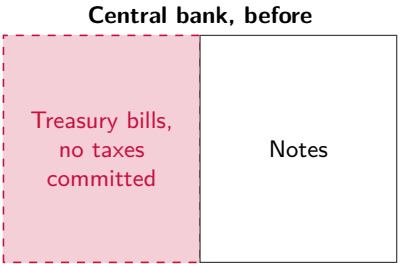


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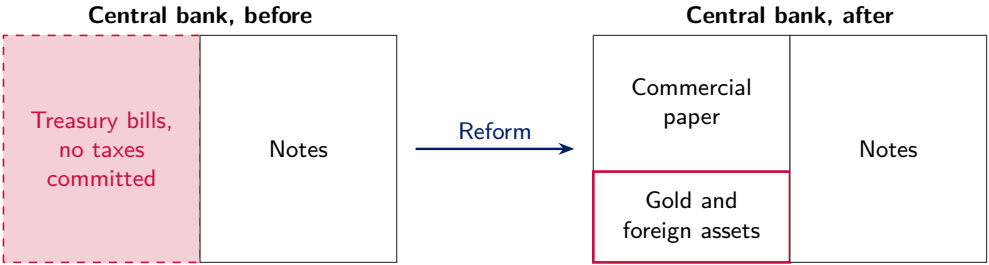
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- Bills and advances are claims in money: they do not anchor the gold value
- **Contingent rule:** suspended and resumed at the old parity



How Austria's inflation ended, 1922

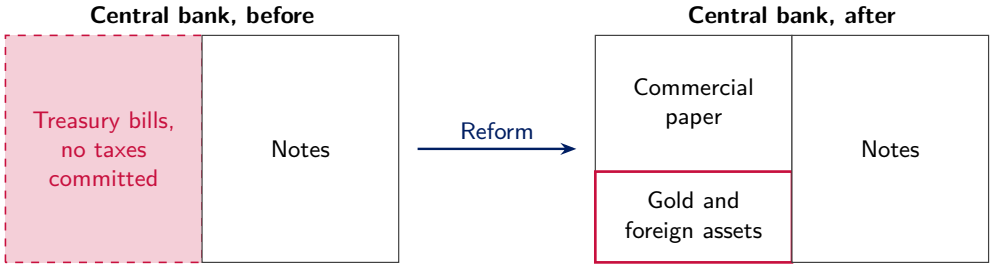


How Austria's inflation ended, 1922



- 1922 reform: an independent central bank and an end to large deficits

How Austria's inflation ended, 1922



- 1922 reform: an independent central bank and an end to large deficits
- Prices stopped in September 1922, while the notes kept growing

☞ **Committing fiscal resources to money ended the inflation at once**

Each money is a promise

What stands behind the promise?

Money	Promise	Backing
Commercial bank deposit	Cash at par	Loans + reserves
Greenback	Gold at par, in the future	Gold + future surpluses
Central bank note under gold	Gold at par, on demand	Gold, bills + advances
Austrian crown, 1922	A stable dollar value, from 1922	Treasury bills, then gold, foreign assets + taxes

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Today's central bank	Target purchasing power	Treasury bonds + future seigniorage + committed support

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What the model builds on

Related literature

Cochrane 2011	An interest-rate rule leaves the price level open
Castillo-Martinez and Reis 2026	An escape clause selects the target path
Sims 2004	A price bound needs net worth or fiscal backing
Barthélemy, Mengus and Plantin 2024	Central bank and Treasury have separate budgets
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☞ **Combined: an escape clause, and who funds it**

An economy and a unit of account

- One good, made by firms that adjust their prices slowly: a New Keynesian economy
- In the balance-sheet experiments, prices adjust at once
- A surprise at date 0, then perfect foresight
- P_t: units of money per good; money buys $1/P_t$ goods; inflation $\pi_t = P_t/P_{t-1}$
- Households hold the money and the Treasury's bonds, and pay its taxes
- The central bank issues the money and holds part of the Treasury's bonds
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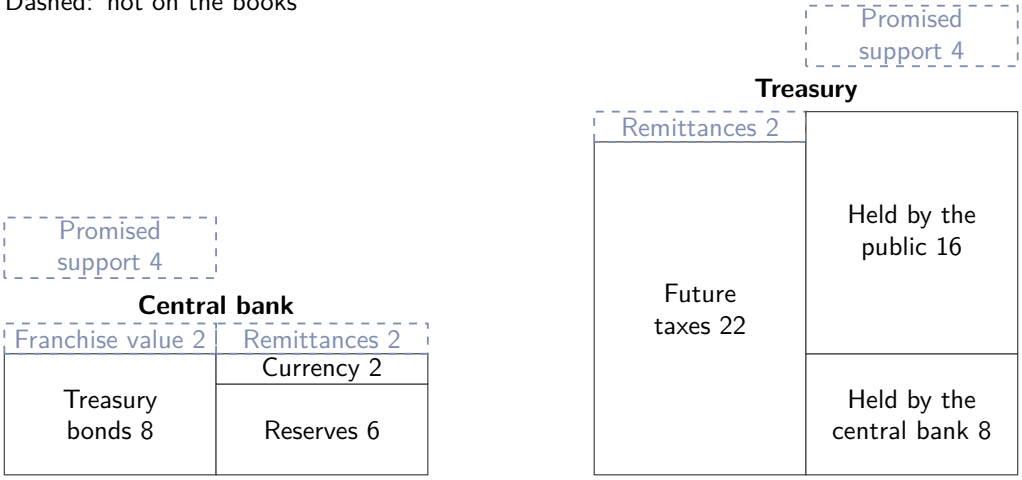
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Two government balance sheets

Dashed: not on the books



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Interest-rate rules leave the level open

Related literature

Fisher relation

$1 + i_t = (1 + r)\pi_{t+1}$

Taylor rule

$1 + i_t = (1 + r)\pi^*(\pi_t/\pi^*)^{\phi}$

Implied inflation path

$\pi_{t+1}/\pi^* = (\pi_t/\pi^*)^{\phi}, \quad \phi > 1$

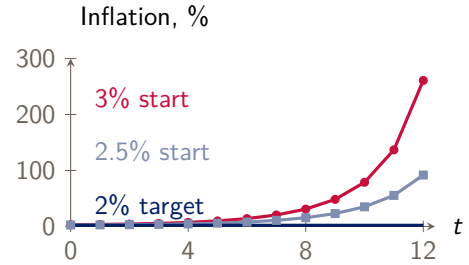


Illustration with flexible prices: $\phi = 1.5$, $\pi^* = 1.02$

New Keynesian reading

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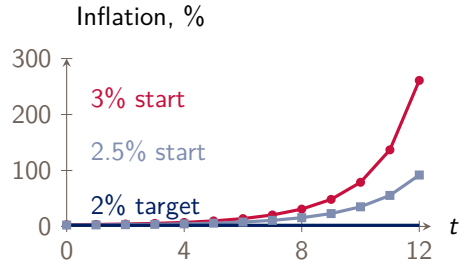


Illustration with flexible prices: $\phi = 1.5$, $\pi^* = 1.02$

- With taxes adjusting, no optimality condition rules out these equilibria
- New Keynesian models discard them, keeping only the locally bounded path

> *"Transversality conditions can rule out real explosions but not nominal explosions."*
>
> Cochrane 2011

New Keynesian reading

The escape clause pins the price

In the debate | Related literature

- **Inside the band:** usual interest-rate policy
- **Outside:** the central bank buys and sells money at its target real value

(Castillo-Martinez and Reis 2026)

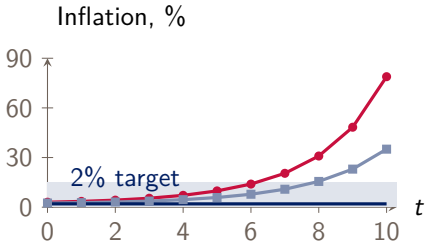


Illustration with flexible prices; band from 0% to 15%

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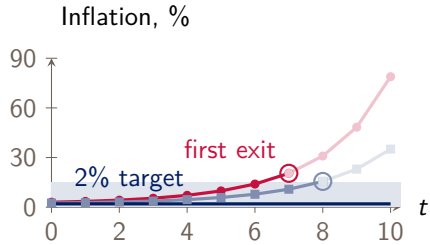


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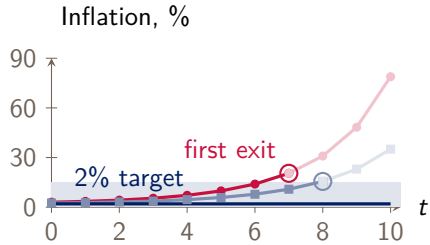


Illustration with flexible prices; band from 0% to 15%

In the New Keynesian economy, the Taylor rule pins down inflation only locally.
A suitable escape clause selects that equilibrium among all paths.

> *Money, "while carrying no explicit promise of redemption, acquires an implicit redemption value when there is a commitment to a bound on the price level"*
>
> Sims 2004

Two commitments

Always

- **The central bank** defends the target and may keep its seigniorage to cover losses
- **The Treasury** pays its bonds in full, at the restored price, on every path

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Support beyond the bonds

- **Aligned objectives:** the Treasury also covers losses, without limit
- **Diverging objectives:** it commits at most K, fixed in advance by a law or an indemnity

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☞ **A claim backs money only if it commits fiscal resources**

What backs the escape clause?

▸ In the debate ▸ Related literature

The clause is affordable at the target if

money not covered by bonds $\leq$ franchise value + committed support

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The clause is affordable at the target if

$$\text{money not covered by bonds} \quad \leq \quad \text{franchise value} + \text{committed support}$$

$$\frac{M + C - B}{P_0^*} \quad \leq \quad S + K$$

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$$\text{Today:} \quad \frac{6 + 2 - 8}{1} = 0 \quad \leq \quad 2 + 4 = 6$$

☞ **Money is backed by bonds, the franchise value and committed support**

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What happens when its bonds are bought, or cancelled?

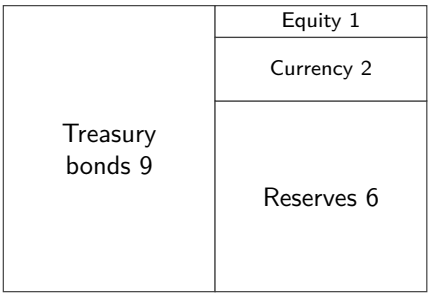
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What accounting equity misses

In the debate | Related literature

While rates are low, the central bank has a little book equity

Accounting equity $+1$



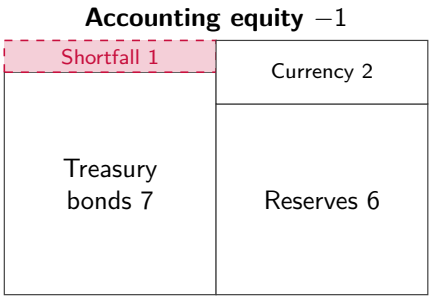
Values at the target. Dashed assets: not on the books

(Reis 2015)

What accounting equity misses

In the debate · Related literature

Rates rise and its bonds lose value: book equity turns negative



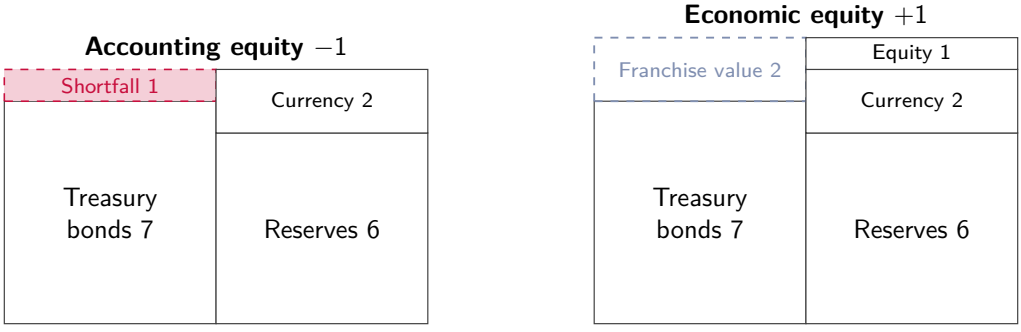
Values at the target. Dashed assets: not on the books

(Reis 2015)

What accounting equity misses

In the debate · Related literature

Its franchise value covers the loss, with no fiscal support



Values at the target. Dashed assets: not on the books

(Reis 2015)

☞ **The franchise value absorbs QE losses; cancellation needs the Treasury**

Outline

I. Central banking in history

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Three experiments

QE starts from today's balance sheets; the cancellations start from the accounts after QE.

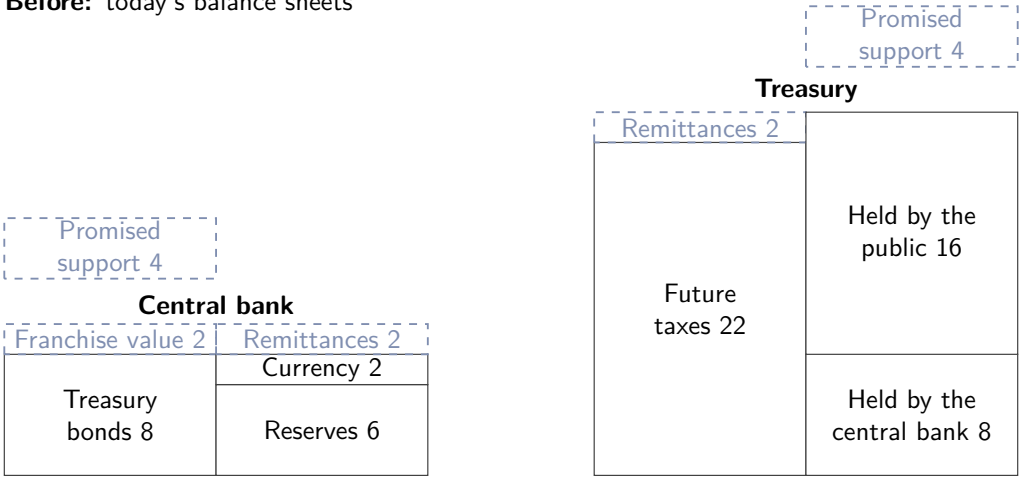
	QE	**Cancel, full support**	**Cancel, capped support**
The central bank's bonds	More, bought with new reserves	All cancelled	All cancelled
Treasury support	Unchanged	Replaces what the central bank loses	Limited in advance

After each: can the central bank still defend the target? Who gains, and who pays?

QE can be undone

In the debate

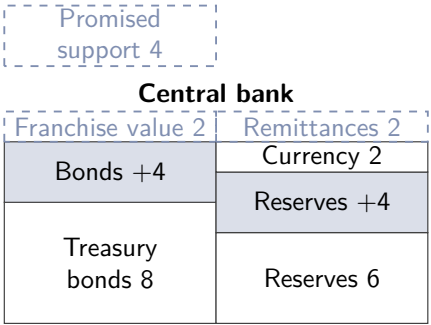
Before: today's balance sheets

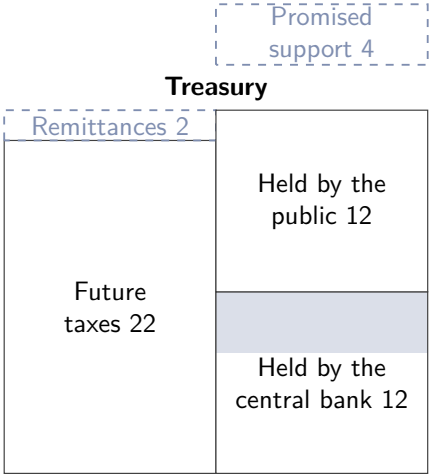


QE can be undone

In the debate

QE adds Δ to reserves and bonds

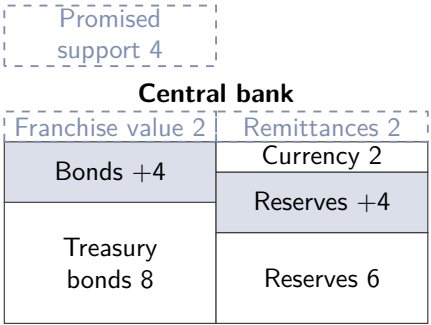


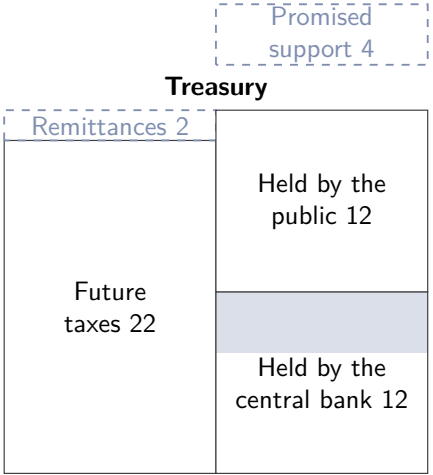


QE can be undone

QE adds Δ to reserves and bonds

$$\frac{(M+\Delta)+C-(B+\Delta)}{P_0^*} = \frac{M+C-B}{P_0^*} \leq S+K$$

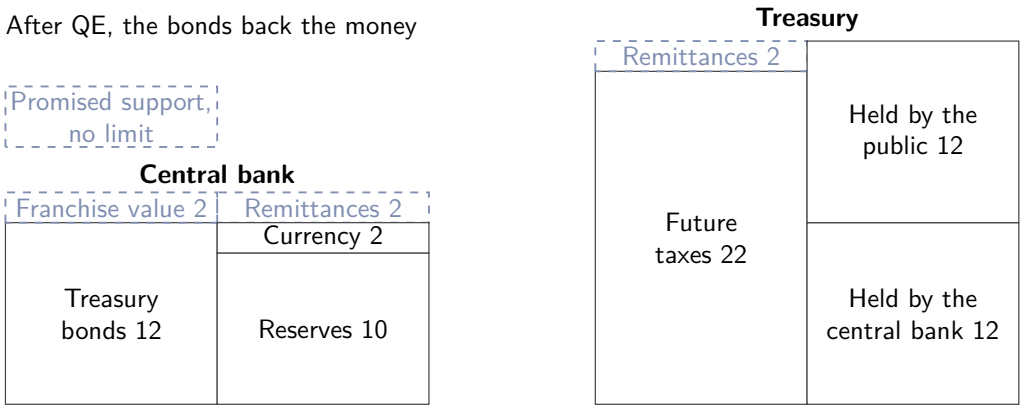




Cancel it all, with full support

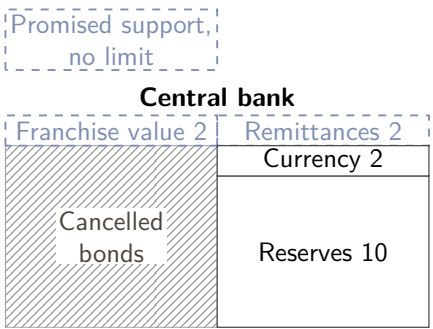
In the debate

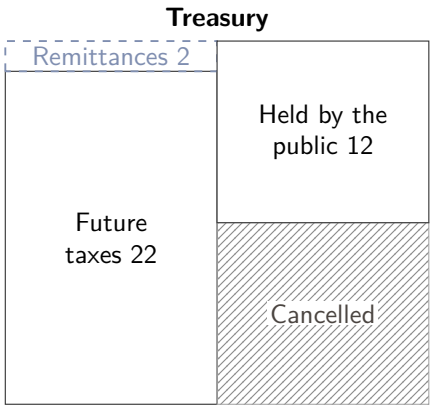
After QE, the bonds back the money



Cancel it all, with full support

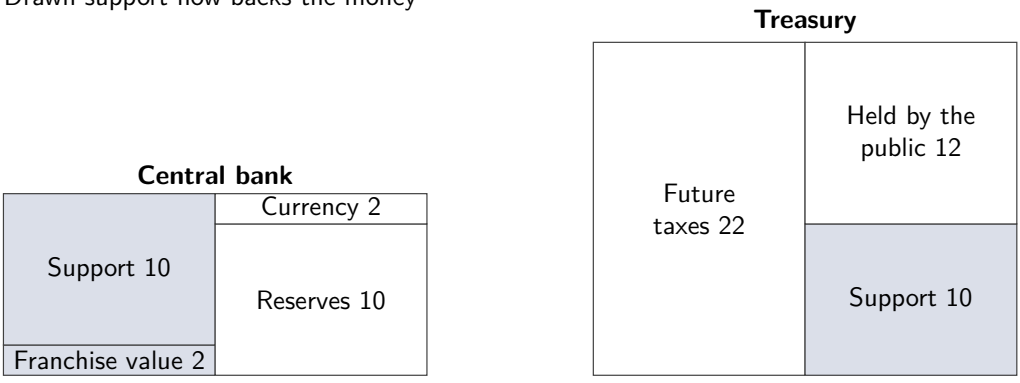
Cancelled: what is left is off the books





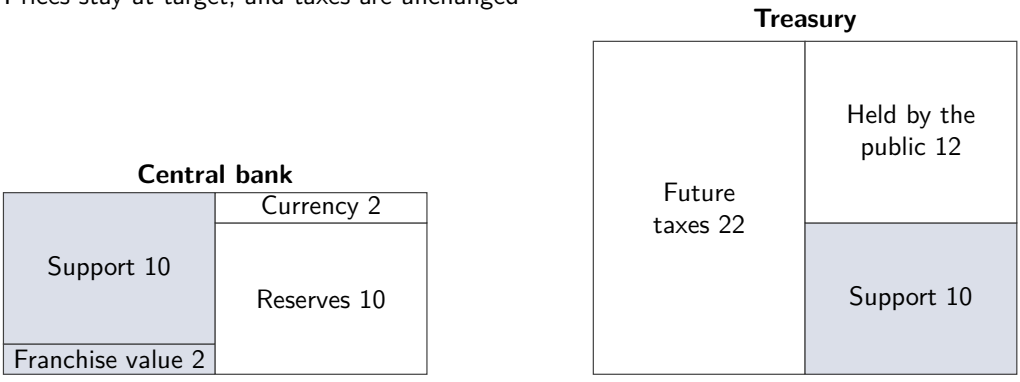
Cancel it all, with full support

Drawn support now backs the money



Cancel it all, with full support

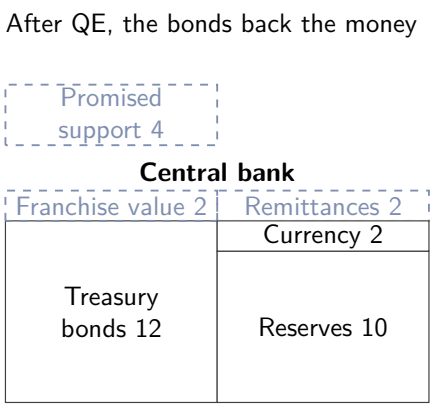
Prices stay at target, and taxes are unchanged

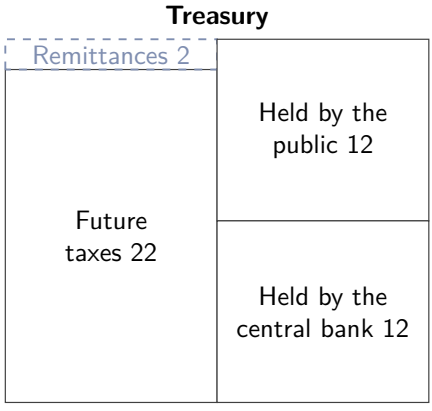


☞ **With full support, Blanchard's accounting is exact**

Cancel it all, support capped

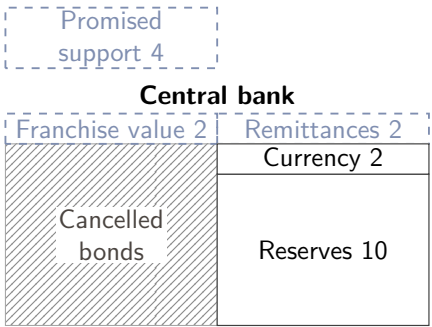
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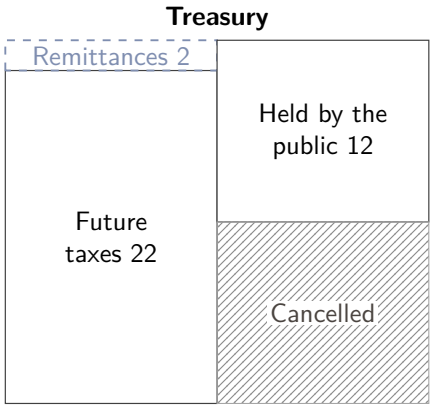




Cancel it all, support capped

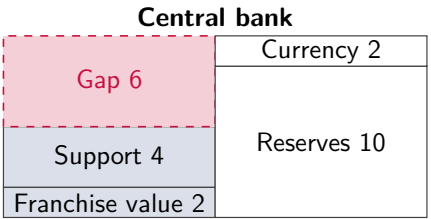
Cancelled: what is left is off the books





Cancel it all, support capped

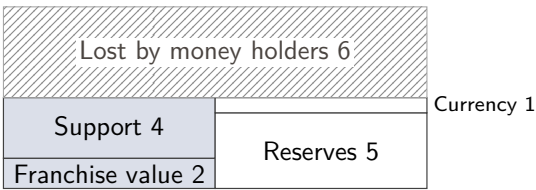
At the target, capped support leaves money short



Cancel it all, support capped

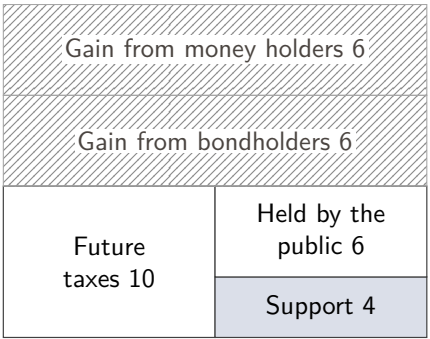
Prices jump until the money is backed again

Central bank (real terms)



Price level $\times 2$

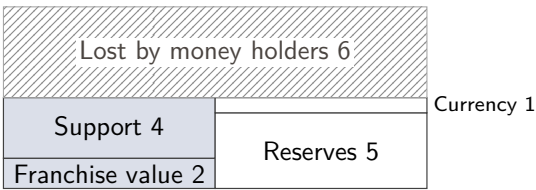
Treasury (real terms)



Cancel it all, support capped

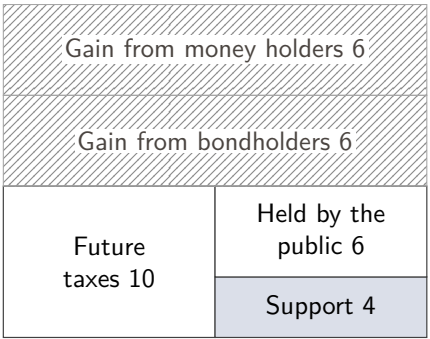
Prices jump until the money is backed again

Central bank (real terms)



Price level $\times 2$

Treasury (real terms)



☞ **The Treasury gains what holders of money and bonds lose**

The boundary of monetary financing

In the debate | Related literature

Monetary financing: the state financed by lowering the value of money

	QE	Cancellation
Treasury's bond payment	Still due	Waived
Can be reversed	Yes: the bonds can be sold	No

The boundary of monetary financing

In the debate | Related literature

Monetary financing: the state financed by lowering the value of money

	QE	Cancellation
Treasury's bond payment	Still due	Waived
Can be reversed	Yes: the bonds can be sold	No

The Court of Justice upheld QE as temporary and reversible

> *"The programme's temporary nature is also reinforced by the fact that [...] the ESCB has retained the option of selling purchased bonds at any time"*
>
> Court of Justice 2018

☞ **Monetary financing begins when the waived payment is not fully replaced**

Outline

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Conclusion

Related literature

- **Blanchard is right** when the Treasury replaces the backing: nothing changes

Conclusion

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- **Blanchard is right** when the Treasury replaces the backing: nothing changes
- **When objectives diverge,** the Treasury may not replace the backing: money is left short and prices jump

Conclusion

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- **Dufrêne's permanent money** then has an effect, and it is inflation: holders of money and bonds pay for the Treasury's gain

Conclusion

Related literature

- **Blanchard is right** when the Treasury replaces the backing: nothing changes
- **When objectives diverge,** the Treasury may not replace the backing: money is left short and prices jump
- **Dufrêne's permanent money** then has an effect, and it is inflation: holders of money and bonds pay for the Treasury's gain
- **To think through such questions,** look beyond local interest-rate rules and think of the central bank as a bank

---

☞ **Cancellation either changes nothing or finances the state through inflation**

Appendix

Extension: when the state cannot pay everyone

- Default or inflation? Priority decides
- QE changes who bears losses
- Independence has size and rank

Backup

- The New Keynesian reading
- Who pays?
- Lending in a run
- Restoring the target changes debt service
- Escape clauses in practice
- Two layers of fiscal backing
- Currency and seigniorage
- Future fees back a coin
- Three theories, three backings
- Related literature
- Arguments from the debate
- Greece 2012, central bank first
- Sources for the main slides

Default or inflation? Priority decides

When capacity covers the central bank's claims but not all the state owes

	A: central bank paid first	**B: cancellation first**
Price level	stays at target	
Public bonds	partly written down	
Money holders	lose nothing	
Bondholders	lose through default	

Both rules allow the same support cap K

Priority reflects law, institutions or the Treasury's preferences

☞ **Creditor priority decides between default and inflation**

Default or inflation? Priority decides

When capacity covers the central bank's claims but not all the state owes

	A: central bank paid first	**B: cancellation first**
Price level	stays at target	rises once
Public bonds	partly written down	paid in full, in money
Money holders	lose nothing	lose through inflation
Bondholders	lose through default	lose through inflation

Both rules allow the same support cap K

Priority reflects law, institutions or the Treasury's preferences

☞ **Creditor priority decides between default and inflation**

QE changes who bears losses

Rule A: the central bank is paid first

- The total loss is the same before and after QE
- Mild shortfall: QE lowers recovery on the remaining public bonds; prices stay at target
- Larger shortfall: QE moves part of the loss from default to inflation

Rule B: the Treasury cancels first

- The central bank's holdings within K: recovery falls, prices unchanged
- Beyond K, with a public haircut: QE can replace part of it with inflation
- Public paid in full: further QE changes neither inflation nor recovery

QE changes who bears losses

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Independence has size and rank

Size	How much is committed to defending the currency?
	Bonds held by the central bank $\frac{B}{P_0^*}$
	$+$ committed support K
Rank	Who has priority when the state cannot pay everyone?
Rule A	Pay the central bank first
	Public bonds absorb losses first
Rule B	Cancel the central bank's bonds first
	Protect public nominal repayment

The same K is compatible with both rules

Law, institutions or Treasury preferences determine rank

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Law, institutions or Treasury preferences determine rank

Backup: the New Keynesian reading

Local uniqueness with $\phi > 1$, flexible prices

$$x_t \equiv \log(\pi_t/\pi^*), \qquad x_t = \phi^t x_0$$
$$\sup_{t\geq 0} |x_t| < \infty \quad \Longleftrightarrow \quad x_0 = 0$$

- New Keynesian selection keeps only the bounded log-inflation path (Cochrane 2011)
- Here, rising inflation paths are equilibria with the same real allocation (Cochrane 2011)
- A funded escape clause excludes every path that leaves the band
- With sticky prices it selects globally too, under conditions on its design and band
- Our target equilibrium is New Keynesian, with a passive Treasury (Woodford 2003)

Back

Backup: who pays?

Cancelling all the central bank's bonds

- If $S + K \geq B$: prices stay at target, and the Treasury gains nothing
- If $0 < S + K < B$: prices jump once, and the Treasury gains

Backup: who pays?

Cancelling all the central bank's bonds

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Where the Treasury's gain comes from

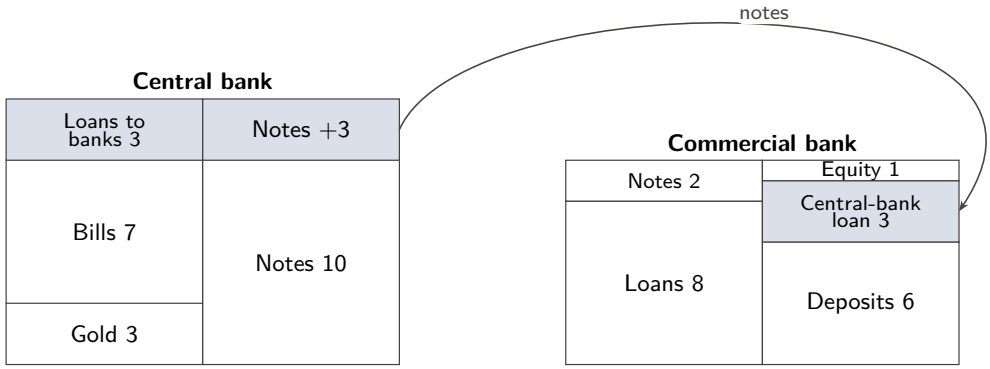
$$\text{Treasury's gain} \quad = \quad \text{money holders' loss} \quad + \quad \text{bondholders' loss}$$

$$(M + C + H)\left(\frac{1}{P_0^*} - \frac{1}{P_0}\right) \quad = \quad (M + C)\left(\frac{1}{P_0^*} - \frac{1}{P_0}\right) \quad + \quad H\left(\frac{1}{P_0^*} - \frac{1}{P_0}\right)$$

☞ **The Treasury gains only what holders of money and nominal bonds lose**

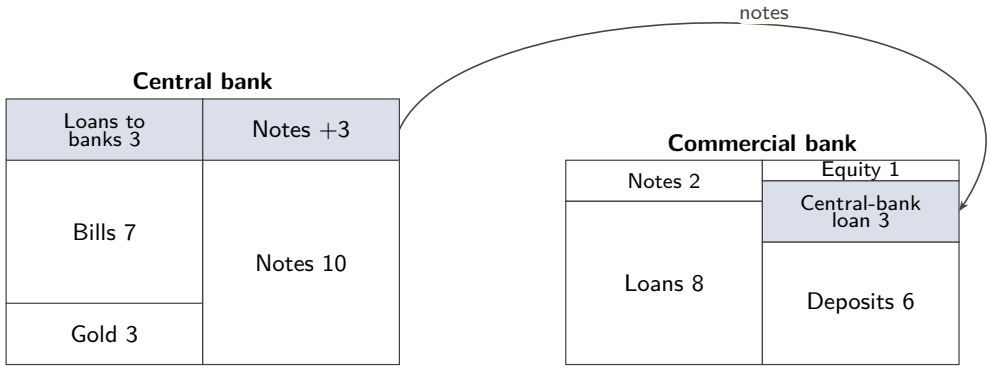
Backup: lending in a run

In a run, the central bank lends new notes against the commercial bank's loans



Backup: lending in a run

In a run, the central bank lends new notes against the commercial bank's loans



The same gold now covers more notes

Backup: restoring the target changes debt service

At the trigger: the central bank's bonds due for 8, public bonds 16

Target price $P^* = 1$; no support ($K = 0$)

Comparing settlements; no trades at the candidate price

Case	Real service	Candidate	$P^* = 1$	Change
Twice: $P = 2$	Central bank's bonds	4	8	$+4$
	All Treasury debt	12	24	$+12$
The Treasury raises extra taxes				
Half: $P = \frac{1}{2}$	Central bank's bonds	16	8	-8
	All Treasury debt	48	24	-24
The Treasury rebates the difference				

Paying the bonds is an existing obligation: it does not draw on K

Backup: restoring the target changes debt service

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Backup: escape clauses in practice

Form	Examples
An explicit promise with a band	Gold convertibility Hong Kong since 2005: the Monetary Authority buys Hong Kong dollars at 7.85 and sells them at 7.75 per US dollar
An implicit monetary anchor	Gold and foreign-currency reserves held for a change of regime; Volcker's 1979 switch to monetarism (Castillo-Martinez and Reis 2026)
Fiscal support K	HM Treasury indemnifies the Bank of England's Asset Purchase Facility: £123.9 bn of net transfers to the Treasury by September 2022, transfers from the Treasury since October 2022 Sveriges Riksbank Act (2023): below a third of its equity target, counting unrealised gains, the Riksbank may ask parliament to restore it; parliament decides

Backup: two layers of fiscal backing

Against default	The Treasury's whole fiscal capacity stands behind bonds
	Taxes 22 + seigniorage $2 = 24$
	Initial bonds: $8 + 16 = 24$
Against inflation	Only the committed layer stands behind money
	Bonds 8 + franchise value 2 + support $4 = 14$
	Money: 8; consolidation hides the committed layer
Cancel all 8	Bonds -8: committed layer $0 + 2 + 4 = 6 < 8$
	Fiscal capacity: still 24

Cancellation can erode money's backing while fiscal capacity is unchanged

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Cancellation can erode money's backing while fiscal capacity is unchanged

Backup: currency and seigniorage

- **Currency:** households hold C without interest
  At the target, real currency holdings are m^* and future seigniorage has real present value S
- **Steady prices:** with a fixed currency stock, households lend m^* forever at no interest

$$S = m^*, \qquad P = \frac{C}{m^*}$$

- **Backing shortfall:** seigniorage joins committed support

$$P_0 = \frac{M + C - B}{S + K} \qquad S + K > 0$$

Households keep holding m^* after the jump
Ruling out runaway paths requires either sufficiently strong demand for money at very small real balances or redemption backed by real resources (Obstfeld and Rogoff '83)

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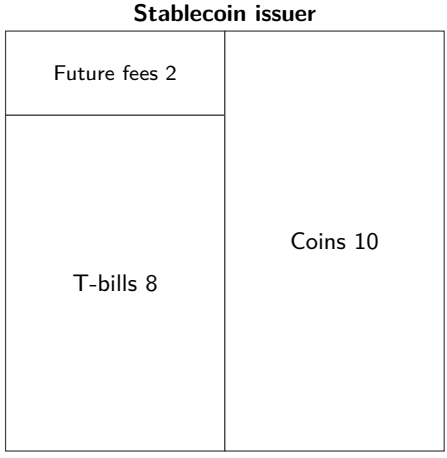
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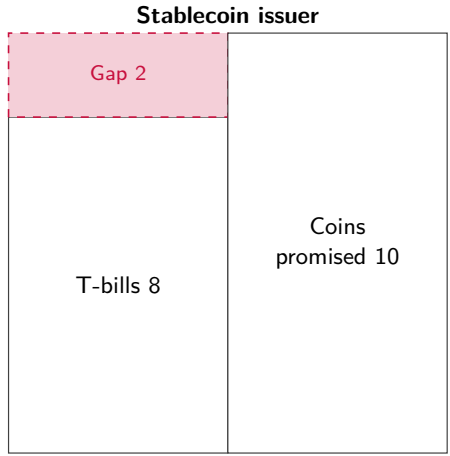
Backup: future fees back a coin

- **Franchise value:** future fees help fund repurchases
  (d'Avernas, Maurin and Vandeweyer 2026)



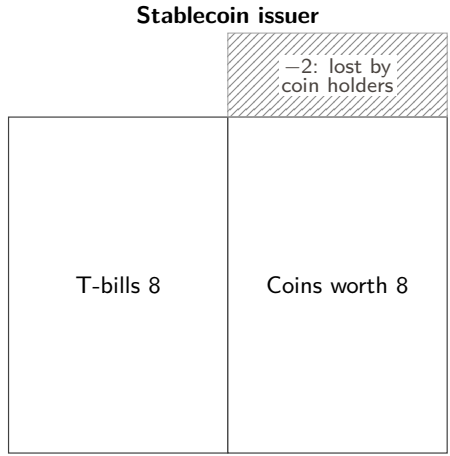
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- Demand collapses, and the fees vanish



Backup: future fees back a coin

- **Franchise value:** future fees help fund repurchases
  (d'Avernas, Maurin and Vandeweyer 2026)
- Demand collapses, and the fees vanish
- The coins are diluted: each is worth less than a dollar



Backup: three theories, three backings

Different monetary arrangements rely on different backing.

Promise in force	Backing	Reading
Convertibility	Gold in the vault	The gold standard
A fixed quantity of currency	Its own seigniorage	The quantity theory
An interest-rate rule with the escape clause	Bonds the Treasury pays and support it commits	New Keynesian theory with a passive Treasury
No backed promise of par	The government's surpluses	The fiscal theory

Backup: related literature

Back

Strand	In the literature	In this talk
Determinacy	Rates alone leave the level open; policy off the path selects it (Sims 1994; Cochrane 2011)	An escape clause selects it; the Treasury stays passive (Leeper 1991)
Escape clause	A contingent real promise pins the level (Sims 2004; Castillo-Martinez and Reis 2026); capital and payout rules select it (Benigno 2020)	Is the promise affordable? The bonds, seigniorage and promised support must cover money
Backing	Bonds back money only through taxes; support differs from fiscal backing (Sargent 1982; Del Negro and Sims 2015; Bassetto and Sargent 2020)	Bonds rest on all fiscal capacity; money only on the central bank's bonds, seigniorage and support
Equity	Negative book equity is not insolvency (Reis 2015; Hall and Reis 2015)	With negative economic equity at the target, prices jump once
Independence	Fiscal and monetary interaction decides who sets prices (Sargent and Wallace 1981; Sims 2016; Barthélemy, Mengus and Plantin 2024)	Independence is fiscal space committed in advance; the support is assumed, full or capped
QE and cancellation	QE is neutral, fiscal policy fixed (Wallace 1981); cancelling adds no resources (Blanchard 2023); taking central-bank assets inflates (Cochrane 2023)	QE keeps the backing; cancellation is neutral if the Treasury replaces it, else prices jump once

Backup: Barthélemy, Mengus and Plantin

> *"[. . .] the net total liabilities of the public sector, that is, the liabilities in the hands of the private sector, equal to the gross liabilities $R_0 X_0 + B_0$ minus holdings of government debt by the monetary authority"*
>
> Barthélemy, Mengus and Plantin, Banque de France working paper 855, 2021, p. 14

> *"This endowment stems from unmodelled past investments in other assets than public debt (e.g., gold, foreign exchange reserves, private assets)."*
>
> Barthélemy, Mengus and Plantin 2025, p. 15

- Their game decides which authority gives way; the central bank's bonds net out
- Cancelling them is neutral there; in 2025, no public debt backs their central bank
- Here its bonds back money and support is capped; their game could set that cap

Back

Backup: Cochrane on the central bank's portfolio

> *"With a separate central bank that holds a balance sheet of assets, the government instead carves out a stream of surpluses, apart from general surpluses and debt, dedicated to price level control."*
>
> Cochrane 2023, p. 294

> *"[. . .] topping up central bank assets would be a way to slow inflation, and confiscating those assets would be a way to create inflation."*
>
> Cochrane 2023, p. 295

- His dedicated surpluses are this talk's fiscal space committed to the price anchor
- His chapter states the mechanism in words, within the fiscal theory
- Here, with an interest-rate rule: neutral if the backing is replaced, else one jump

Back

Backup: arguments from the debate

The argument (click for my answer on X)	Where the talk answers it
Cancelling the central bank's bonds changes the nature of the state's liability	Cancel the central bank's bonds?
Cancel the bonds and stop paying interest on banks' reserves: no inflation, and no victims	Something has to give
Adding up the Treasury and the central bank makes no sense in accounting, in law or in finance	Two government balance sheets
A state that issues its own floating currency cannot be forced to default, so it faces no financial constraint	The escape clause pins the price
Central banks have already absorbed large losses without consequences, so further losses do not matter	What backs the escape clause?
QE did not cause inflation, so cancelling the bonds will not either	QE can be undone
The Banque de France has paid no dividend to the state since 2022, so cancellation costs nothing	Cancel it all, with full support
There is no obligation to recapitalise, and the ECB can operate with negative equity	What accounting equity misses
Cancellation creates no new money, so it is not monetary financing	The boundary of monetary financing

Back

Debate: “the nature of the liability changes”

The argument

Cancelling the central bank’s bonds changes the nature of the state’s liability — Pigasse 2026

My answer

> *“The only thing cancellation changes is the asset: it eliminates it.”*
>
> Vandeweyer on X, 25 August 2026

What the framework adds

The liability changes when the central bank buys the bonds: QE swaps bonds for reserves. Cancellation only removes the asset, the bonds the Treasury pays, so it lowers the backing of money unless the Treasury replaces it. See “Cancel the central bank’s bonds?”.

On X · All arguments · Back

Debate: “just stop paying interest on reserves”

The argument

Cancel the bonds and stop paying interest on banks’ reserves: no inflation, and no victims

Dufrêne 2026

My answer

> *“The only thing cancellation adds is the packaging: ‘we cancel the debt, and nobody pays’. But somebody pays.”*
>
> Vandeweyer on X, 28 August 2026

What the framework adds

This is the trilemma’s second option: commercial banks pay. Requiring them to hold more reserves at zero interest is a tax, borne by their depositors, shareholders and borrowers; cancellation adds nothing to it. See “Something has to give”.

▸ On X ▸ All arguments ◂ Back

Debate: “consolidation does not exist”

The argument

Adding up the Treasury and the central bank makes no sense in accounting, in law or in finance

Dufrêne 2026

My answer

> *“You cannot separate the balance sheets for the losses and merge them for the claim.”*
>
> Vandeweyer on X, 27 August 2026

What the framework adds

The talk keeps the two balance sheets separate and still respects the consolidated budget: the state owns the central bank’s earnings, so what the Treasury saves on cancelled bonds the central bank loses. See “Two government balance sheets”.

▸ On X ▸ All arguments ◂ Back

Debate: “a floating currency removes the constraint”

The argument

A state that issues its own floating currency cannot be forced to default, so it faces no financial constraint

Modern Monetary Theory authors

My answer

> *“removing the liquidity constraint does not remove the solvency constraint.”*
>
> Vandeweyer on X, 29 August 2026

What the framework adds

Without convertibility the central bank still promises money’s value. The escape clause is that promise, and it binds only if it is affordable: the backing condition is the solvency constraint. See “The escape clause pins the price”.

▸ On X ▸ All arguments ◂ Back

Debate: “past losses changed nothing”

The argument

Central banks have already absorbed large losses without consequences, so further losses do not matter

Dufrêne 2026

My answer

> *“In other words, the constraint has not disappeared; it simply has not been crossed yet.”*
>
> Vandeweyer on X, 24 August 2026

What the framework adds

Today’s losses on carrying the bonds sit inside the backing: the bonds and the franchise value still cover money at the target. The backing condition is a threshold, and cancellation can push the gap past it. See “What backs the escape clause?”.

▸ On X ▸ All arguments ◂ Back

Debate: "QE caused no inflation"

The argument

QE did not cause inflation, so cancelling the bonds will not either — Dufour 2026

My answer

> *"There is a fundamental difference between temporary money creation, which the central bank keeps under control (QE, where the ECB keeps the claim), and permanent monetisation (QE followed by cancelling the claim)."*
>
> Vandeweyer on X, 8 September 2026

What the framework adds

QE adds the same amount to reserves and bonds, so the escape clause's condition is unchanged. Cancellation removes bonds from it, and the gap must then be covered by seigniorage and support. See "QE can be undone".

▸ On X ▸ All arguments ◂ Back

Debate: “the central bank already pays no dividend”

The argument

The Banque de France has paid no dividend to the state since 2022, so cancellation costs nothing

Bompard 2026

My answer

> *“That the Banque de France pays no dividend at the moment is irrelevant: we are talking about future dividends.”*
>
> Vandeweyer on X, 17 September 2026

What the framework adds

The franchise value is the value today of those future remittances. After cancellation the central bank keeps it to cover money, so the Treasury gives it up; with full support it also pays the rest and gains nothing. See “Cancel it all, with full support”.

▸ On X ▸ All arguments ◂ Back

Debate: “a central bank can live with negative equity”

The argument

There is no obligation to recapitalise, and the ECB can operate with negative equity Dufrêne 2026

My answer

> *“The solvency I am talking about is not legal, it is economic.”*
>
> Vandeweyer on X, 24 August 2026

What the framework adds

Agreed on book equity. What matters is economic equity at the target, which adds the franchise value and the committed support: after cancellation it is zero with full support and negative with capped support. See “What accounting equity misses”.

On X · All arguments · Back

Debate: “cancellation creates no new money”

The argument

Cancellation creates no new money, so it is not monetary financing — Dufrêne 2026

My answer

> *“As long as the claim was to be repaid, the spending remained financed by debt; cancellation turns that financing, retroactively, into permanent money creation.”*
>
> Vandeweyer on X, 8 September 2026

What the framework adds

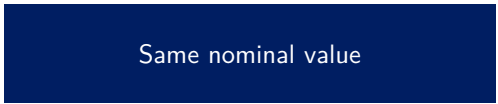
The money was created when the bonds were bought; cancellation waives the payment that stood behind it. If that payment is not fully replaced, the state is financed by lowering the value of money. See “The boundary of monetary financing”.

▸ On X ▸ All arguments ◂ Back

Backup: Greece 2012, central bank first

Treatment of principal in the Greek restructuring

Eurosystem



Securities Markets Programme bonds replaced by new bonds of the same nominal value, outside the exchange
(ECB Annual Report 2012)

Private holders



Private holders' principal was cut by 53.5% in the exchange
(Invitation Memorandum 2012)

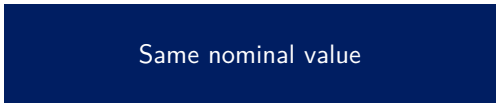
Illustrates rule A: the central bank is paid first

The Eurosystem is not Greece's own central bank

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Illustrates rule A: the central bank is paid first

The Eurosystem is not Greece's own central bank

Sources: the opening and the greenback

- **Cancel the central bank's bonds?** posts on X by Matthieu Pigasse (22 Aug 2026), Olivier Blanchard (23 Aug 2026) and Nicolas Dufrêne (30 Aug 2026); Eurosystem cumulative net purchases of French public debt, end-September 2026: €359.6 bn (PSPP) and €237.5 bn (PEPP), ECB; about a sixth of French public debt, €3,595.5 bn in 2026 Q2, INSEE (an indicative ratio: the two are dated and valued differently)

- **Something has to give:** Olivier Blanchard and Quentin Vandeweyer, « Sur l'annulation de la dette détenue par la Banque de France, l'erreur est de croire qu'elle dégagerait des ressources ou serait sans coût » [On cancelling the debt held by the Banque de France, the mistake is to believe that it would free up resources or come at no cost], *Le Monde*, 4 September 2026

- **Money without a central bank:** Mitchell (1903), *A History of the Greenbacks*; Cochrane (2023), *The Fiscal Theory of the Price Level*

- **Fiscal news priced the greenback:** gold cents per greenback dollar, monthly means of the daily high-low midpoints, EH.net Greenback Series, coded from Mitchell (1903); low of 35 cents on 11 July 1864, Mitchell (1903, p. 234); Willard, Guinnane and Rosen (1996), "Turning Points in the Civil War: Views from the Greenback Market", *American Economic Review*; U.S. Treasury (1915), *Information Respecting United States Bonds, Paper Currency and Coin*

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- **Interest-rate rules leave the level open:** Cochrane (2011), "Determinacy and Identification with Taylor Rules", *Journal of Political Economy*, quotation p. 566

- **The escape clause pins the price:** Castillo-Martinez and Reis (2026), "How Do Central Banks Control Inflation? A Guide for the Perplexed", *Journal of Economic Literature*; quotation: Sims (2004), "Limits to Inflation Targeting", in Bernanke and Woodford (eds), *The Inflation-Targeting Debate*, p. 289

- **What accounting equity misses:** Reis (2015), comment on Del Negro and Sims, "When Does a Central Bank's Balance Sheet Require Fiscal Support?", *Journal of Monetary Economics*

- **The boundary of monetary financing:** Court of Justice, *Weiss and Others*, Case C-493/17, judgment of 11 December 2018, para. 146; Article 123(1) of the Treaty on the Functioning of the European Union